

Chapter VI

Governance Guidelines

38. Experience of the Board

Considering the need for professional experience in managing the affairs of the NBFCs, at least one of the directors shall have relevant experience of having worked in a bank/ NBFC.

39. Risk Management Committee

In order that the Board is able to focus on risk management, NBFCs shall constitute a Risk Management Committee (RMC) either at the Board or executive level. The RMC shall be responsible for evaluating the overall risks faced by the NBFC including liquidity risk and shall report to the Board.

40. Loans to directors, senior officers and relatives of directors

NBFCs shall have a Board approved policy on grant of loans to directors, senior officers and relatives of directors and to entities where directors or their relatives have major shareholding. The Board approved policy shall include a threshold beyond which loans to abovementioned persons shall be reported to the Board. Further, NBFCs shall disclose in their Annual Financial Statement, aggregate amount of such sanctioned loans and advances as per the template provided in the [Annex XI](#).

41. Appointment of Statutory Central Auditors/Statutory Auditors

NBFCs shall adhere to the instructions contained in circular titled '[Guidelines for Appointment of Statutory Central Auditors \(SCAs\)/ Statutory Auditors \(SAs\) of Commercial Banks \(excluding RRBs\), UCBs and NBFCs \(including HFCs\)](#)' dated April 27, 2021, as amended from time to time. However, non-deposit taking NBFCs with asset size below ₹1,000 crore have the option to continue with their extant procedure.

42. Acquisition/ Transfer of Control of NBFCs

42.1.1 An NBFC shall require prior written permission of the Reserve Bank for the following:

- (i) Any takeover or acquisition of control of the NBFC, may or may not result in change of management;

(ii) Any change in the shareholding of the NBFC, including progressive increases over time, which would result in acquisition/ transfer of shareholding of 26 percent

Provided that, prior approval would not be required in case of any shareholding going beyond 26 percent due to buyback of shares/reduction in capital where it has approval of a competent Court. However, the same is to be reported to the Reserve Bank not later than one month from its occurrence.

(iii) Any change in the management of the NBFC which would result in change in more than 30 percent of the directors, excluding independent directors.

Provided that, prior approval would not be required in case of directors who get reelected on retirement by rotation.

42.1.2 Notwithstanding paragraph 42.1.1, NBFCs shall continue to inform the Reserve Bank regarding any change in their directors/management.

42.2 Application for prior approval for acquisition/ transfer of control

42.2.1 NBFCs shall submit an application, in the company's letter head, for obtaining prior approval of the Reserve Bank, along with the following documents:

- (i) information about the proposed directors/shareholders as per [Annex XII](#);
- (ii) sources of funds of the proposed shareholders acquiring the shares in the NBFC;
- (iii) declaration by the proposed directors/shareholders that they are not associated with any unincorporated body that is accepting public deposits;
- (iv) declaration by the proposed directors/shareholders that they are not associated with any company, the application for CoR of which has been rejected by the Reserve Bank;
- (v) declaration by the proposed directors/shareholders that there is no criminal case, including for offence under section 138 of the Negotiable Instruments Act, against them; and
- (vi) bankers' report on the proposed directors/ shareholders.

42.2.2 Applications in this regard shall be submitted to the Regional Office of the Department of Supervision of the Reserve Bank in whose jurisdiction the Registered Office of the NBFC is located.

42.3 Requirement of Prior Public Notice about change in control/ management.

42.3.1 A public notice of at least 30 days shall be given before effecting the sale of, or transfer of the ownership by sale of shares, or transfer of control, whether with or without

sale of shares. Such public notice shall be given by the NBFC and also by the other party or jointly by the parties concerned, after obtaining the prior permission of the Reserve Bank.

42.3.2 The public notice shall indicate the intention to sell or transfer ownership/ control, the particulars of transferee and the reasons for such sale or transfer of ownership/ control. The notice shall be published in at least one leading national and in one leading local (covering the place of registered office) vernacular newspaper.

42.4 ¹⁴Investment from FATF non-compliant jurisdictions

NBFCs shall also ensure compliance to the instructions as specified in the [paragraph 8](#) of these directions.

43. Need for public notice before closure of the Branch/Office by NBFC

NBFCs shall give at least three months public notice prior to the date of closure of any of its branches/offices in, at least, one leading national newspaper and a leading local (covering the place of branch/ office) vernacular newspaper indicating therein the purpose and arrangements being made to service the depositors, etc.

44. Information with respect to change of address, directors, auditors, etc. to be submitted

NBFCs shall communicate, not later than one month from the occurrence of any change in:

- (i) the complete postal address, telephone number/s and fax number/s of the registered/ corporate office;
- (ii) the names and residential addresses of the directors of the company;
- (iii) the names and the official designations of its principal officers;
- (iv) the names and office address of the auditors of the company; and
- (v) the specimen signatures of the officers authorised to sign on behalf of the company to the Regional Office of the Department of Supervision of the Reserve Bank under whose jurisdiction it is registered.

¹⁴ Vide circular [DOR.CO.LIC.CC.No.119/03.10.001/2020-21](#) dated February 12, 2021.